CAPITAL IMPROVEMENT PLAN

Quarry Marketplace | Tempe, AZ

Property	Quarry Marketplace
Plan Date	January 3, 2022
Prepared For	Sunbelt Ridge Acquisitions
Total Plan Budget	$49,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Elevator modernization	Site	01/01/26	Q3 2027	$467,000	$293,748	Deferred
Unit interior upgrades	Life Safety	05/24/26	Q2 2025	$293,000	$242,046	Approved
Amenity renovation	Life Safety	08/26/26	Q4 2027	$86,000	$7,936	Bidding
Security camera upgrade	Energy	09/29/24	Q4 2025	$894,000	$517,553	Complete
Amenity renovation	Interior	12/30/23	Q2 2026	$47,000	$3,634	Bidding
Storefront glazing	Energy	09/19/26	Q2 2026	$235,000	$119,532	Bidding
Door hardware	Interior	12/20/26	Q4 2025	$136,000	$64,236	Approved
Fence replacement	Site	10/06/23	Q1 2026	$530,000	$235,542	Bidding
Elevator modernization	Life Safety	05/11/23	Q4 2025	$469,000	$233,069	Approved
Elevator modernization	Interior	08/09/24	Q1 2025	$558,000	$539,206	Approved
HVAC replacement	Interior	01/07/25	Q2 2027	$180,000	$86,160	Bidding
Door hardware	Site	07/19/24	Q1 2025	$413,000	$185,178	Bidding
Security camera upgrade	Energy	09/17/26	Q4 2025	$176,000	$31,976	Complete
Elevator modernization	Interior	03/07/23	Q1 2025	$173,000	$139,592	Bidding
Fire alarm panel upgrade	Building	05/18/24	Q3 2026	$710,000	$300,672	Deferred
Roof replacement - Bldg D	Interior	12/28/25	Q2 2026	$117,000	$87,150	Complete
Amenity renovation	Site	10/21/24	Q2 2026	$299,000	$304,938	In progress
LED lighting retrofit	Interior	12/01/23	Q2 2026	$360,000	$180,520	Complete
Sewer line repair	Life Safety	08/21/23	Q4 2026	$603,000	$477,975	In progress
Signage / monument	Energy	01/07/23	Q1 2027	$368,000	$309,237	Deferred
Security camera upgrade	Energy	06/17/25	Q1 2027	$698,000	$217,618	Bidding
Fire alarm panel upgrade	Site	07/06/25	Q1 2026	$239,000	$211,361	Bidding

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Energy	11/30/23	Q2 2025	$257,000	$227,440	Bidding
Exterior paint	Energy	04/09/26	Q3 2027	$241,000	$66,624	Approved
Unit interior upgrades	Site	02/09/26	Q3 2027	$696,000	$704,677	Deferred
Parking lot resurfacing	Life Safety	11/13/24	Q2 2026	$217,000	$22,406	Deferred
Door hardware	Energy	06/24/25	Q1 2027	$499,000	$174,531	Bidding
ADA compliance	Life Safety	06/22/26	Q2 2026	$165,000	$4,226	Complete
Fire alarm panel upgrade	Energy	01/13/26	Q2 2027	$899,000	$638,728	Deferred
Signage / monument	Building	02/02/25	Q3 2027	$871,000	$693,645	In progress
Signage / monument	Site	03/29/26	Q1 2025	$880,000	$572,216	In progress
Signage / monument	Building	08/04/26	Q4 2025	$106,000	$55,856	Approved
Pool resurfacing	Site	01/18/23	Q4 2027	$589,000	$524,811	In progress
Storefront glazing	Interior	07/11/24	Q2 2025	$315,000	$224,675	Complete
Signage / monument	Life Safety	04/24/26	Q2 2026	$495,000	$361,863	Approved
HVAC replacement	Interior	12/21/26	Q2 2025	$439,000	$171,367	Bidding
Elevator modernization	Life Safety	10/30/26	Q4 2025	$193,000	$32,421	Deferred
Pool resurfacing	Interior	01/30/25	Q3 2025	$851,000	$534,275	In progress
Lobby renovation	Life Safety	10/18/25	Q2 2026	$105,000	$96,298	Bidding
Lobby renovation	Life Safety	05/27/23	Q2 2025	$346,000	$56,062	Complete
ADA compliance	Energy	01/21/26	Q4 2026	$137,000	$64,616	Approved
Signage / monument	Site	07/28/23	Q2 2026	$504,000	$271,470	Deferred
Parking lot resurfacing	Site	09/06/25	Q2 2027	$78,000	$34,776	Bidding
HVAC replacement	Site	06/21/24	Q4 2025	$210,000	$6,618	Complete
Lobby renovation	Building	11/16/24	Q2 2027	$371,000	$10,802	Deferred
Storefront glazing	Life Safety	12/25/26	Q2 2027	$643,000	$623,906	Bidding
HVAC replacement	Life Safety	05/22/26	Q1 2025	$309,000	$197,990	Complete
Fire alarm panel upgrade	Building	05/16/23	Q2 2025	$360,000	$73,403	Approved
Door hardware	Interior	06/30/24	Q4 2025	$794,000	$34,742	Complete
Fire alarm panel upgrade	Site	02/04/24	Q4 2025	$861,000	$232,074	Bidding
Lobby renovation	Building	10/21/26	Q2 2025	$293,000	$37,504	Complete
Unit interior upgrades	Energy	08/23/26	Q2 2027	$795,000	$308,324	In progress
Water heater replacement	Life Safety	05/18/24	Q2 2027	$67,000	$26,176	In progress
Pool resurfacing	Interior	10/02/24	Q4 2027	$536,000	$5,957	Deferred
Exterior paint	Building	07/31/26	Q3 2027	$505,000	$310,874	In progress
Signage / monument	Interior	08/06/26	Q2 2026	$430,000	$35,676	Bidding
LED lighting retrofit	Building	07/09/25	Q3 2025	$117,000	$16,218	Bidding
Pool resurfacing	Life Safety	05/02/25	Q1 2026	$205,000	$87,979	Deferred
Exterior paint	Building	04/06/25	Q4 2026	$714,000	$491,664	Approved
Elevator modernization	Interior	05/17/23	Q4 2025	$812,000	$36,903	In progress
Roof replacement - Bldg B	Site	09/02/26	Q4 2027	$257,000	$235,215	Approved
Landscape / irrigation	Site	09/23/24	Q3 2027	$54,000	$20,155	Approved
Parking lot resurfacing	Site	04/01/25	Q1 2026	$73,000	$53,618	Complete
Roof replacement - Bldg D	Building	09/06/26	Q2 2027	$828,000	$129,769	Deferred
LED lighting retrofit	Building	06/03/24	Q4 2026	$471,000	$145,371	Complete

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Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 42 months.

Elevators were last modernized 12 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Risk Considerations

Projected levered IRR is 3.1% with an equity multiple of 1.16x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average rent is $20 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 7 years ago and are operating without deficiency.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $122,000. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Risk Considerations

Average rent is $20 per square foot with parking at a ratio of 47 spaces per 1,000 square feet. Projected levered IRR is 10.1% with an equity multiple of 1.21x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 5.4% with an equity multiple of 1.5x over the hold period. Average rent is $20 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Recommendations

Elevators were last modernized 3 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 40 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $311,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Storefront glazing	Building	08/09/26	Q1 2027	$457,000	$110,995	Complete
Amenity renovation	Building	06/28/23	Q2 2027	$335,000	$104,057	Deferred
Door hardware	Life Safety	09/03/26	Q1 2026	$691,000	$490,023	Deferred
Lobby renovation	Interior	02/12/26	Q3 2026	$731,000	$607,882	Complete
LED lighting retrofit	Energy	01/09/25	Q4 2027	$496,000	$410,640	In progress
Elevator modernization	Energy	01/20/26	Q2 2027	$290,000	$229,103	Complete
Fire alarm panel upgrade	Site	05/19/25	Q4 2025	$178,000	$171,887	Bidding
LED lighting retrofit	Site	07/31/23	Q3 2027	$214,000	$198,450	Approved
LED lighting retrofit	Building	10/23/23	Q4 2027	$711,000	$189,604	Bidding
Elevator modernization	Life Safety	12/07/23	Q4 2026	$10,000	$4,005	In progress
Fire alarm panel upgrade	Energy	07/30/23	Q3 2025	$284,000	$129,199	Complete
Fence replacement	Interior	08/04/23	Q1 2026	$25,000	$24,080	Bidding
ADA compliance	Site	08/09/23	Q4 2025	$350,000	$357,792	Complete
Door hardware	Building	02/28/24	Q3 2026	$792,000	$360,877	Complete
Unit interior upgrades	Life Safety	07/14/24	Q1 2027	$551,000	$500,233	Approved
Amenity renovation	Energy	07/16/26	Q3 2025	$876,000	$406,457	Complete
Unit interior upgrades	Life Safety	12/24/26	Q2 2026	$74,000	$18,346	Approved
Pool resurfacing	Life Safety	09/05/24	Q3 2026	$102,000	$67,382	Bidding
Fire alarm panel upgrade	Building	07/21/23	Q4 2027	$590,000	$349,771	Bidding
Parking lot resurfacing	Life Safety	02/18/25	Q1 2027	$853,000	$123,845	Bidding
Signage / monument	Life Safety	06/30/24	Q3 2026	$121,000	$100,062	Deferred
ADA compliance	Energy	03/02/26	Q3 2026	$206,000	$24,606	Complete
Landscape / irrigation	Interior	08/12/25	Q1 2026	$230,000	$112,760	Deferred
Exterior paint	Life Safety	09/02/24	Q3 2027	$558,000	$441,368	In progress
Exterior paint	Life Safety	07/17/24	Q2 2025	$75,000	$48,780	In progress
Door hardware	Energy	03/25/26	Q3 2025	$716,000	$326,979	Complete
Security camera upgrade	Energy	03/31/26	Q1 2027	$452,000	$342,939	Bidding
Fire alarm panel upgrade	Life Safety	09/06/24	Q2 2025	$54,000	$15,247	Approved
Sewer line repair	Life Safety	03/19/24	Q4 2027	$529,000	$42,853	Deferred
Exterior paint	Building	04/05/23	Q3 2026	$42,000	$20,812	Deferred
Elevator modernization	Interior	08/27/24	Q1 2027	$633,000	$560,114	Complete
Exterior paint	Energy	01/18/24	Q4 2027	$249,000	$28,634	Deferred
Lobby renovation	Building	12/19/23	Q1 2027	$516,000	$283,253	Approved
LED lighting retrofit	Energy	12/21/26	Q1 2026	$364,000	$323,136	Deferred
Door hardware	Building	11/16/23	Q4 2025	$861,000	$775,052	In progress
Water heater replacement	Site	01/13/23	Q4 2026	$451,000	$318,736	Complete
Water heater replacement	Life Safety	02/11/25	Q1 2026	$324,000	$97,467	Approved
Roof replacement - Bldg D	Life Safety	10/21/23	Q3 2027	$192,000	$65,279	Bidding
Sewer line repair	Interior	03/05/24	Q2 2027	$351,000	$180,966	Deferred
Security camera upgrade	Interior	08/31/24	Q2 2027	$806,000	$474,752	In progress
Fence replacement	Site	10/25/24	Q4 2027	$631,000	$367,207	Deferred
Signage / monument	Life Safety	10/28/25	Q1 2026	$797,000	$689,624	Deferred
ADA compliance	Site	08/07/25	Q1 2026	$476,000	$268,657	Deferred

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Summary and Notes

Income and Expense Review

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Average rent is $20 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. Debt service coverage ratio was 7.89x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $421,000, representing a 6.3% increase over the prior year.

Effective gross income for the trailing period was $425,000, representing a 11.1% increase over the prior year. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.58% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Leasing and Marketing

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 93.4% of billed charges, with bad debt of 3.1% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Collections for the period were 89.1% of billed charges, with bad debt of 5.0% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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